

PUBLIC UTILITY COMMISSION OF TEXAS
AEP TEXAS
GENERAL EMPLOYEE BENEFIT INFORMATION – ADMINISTRATION FEES
TEST YEAR ENDING 12/31/2018

1. Please refer to Schedule II-D-3-10-1 Attachment 1 for the schedules of administration fees paid principally from the AEP Voluntary Employees' Beneficiary Association (VEBA) trusts on behalf of AEP Texas' employee benefits plans. For most of the Company's employee benefits plans, the employee/retiree claims and the fees to administer the plans are paid directly from the trust accounts and are not recorded on the Company's books.

The functional amounts shown on Schedule II-D-3-10-1 Attachment 1 do not represent the actual cost of administration fees recorded on AEP Texas' books since these costs are included in AEP Texas' contributions to the trust funds. Refer to Schedules II-D-3-7 for support of the AEP Texas' requested level of active employee benefits costs and Schedule II-D-3-9 for support of the AEP Texas' requested level of postretirement benefits costs (OPEB), both of which include the costs of administration fees.

The administration costs of the pension plan are paid directly from the plan assets and are not paid by AEP Texas. The administrative costs of the savings plan are paid directly by the plan participants and are not paid by AEP Texas.

2. Please refer to the copies of contracts that detail the administration services provided, the period covered, and the calculation of the administration fee for the medical (including behavioral health, employee assistance, prescription drug, flexible spending account, health savings account and disease management), dental, and long-term disability benefit plans. The VEBA trust makes premium payments to insurance carriers for over age 65 retiree medical, a small set of dental participants and life insurance. Therefore, for these benefit plans there are no associated administrative service contracts.

The information responsive to this schedule is Voluminous. The voluminous information is available for review at the Austin offices of American Electric Power Company (AEP), 400 W. 15th Street, Suite 1520, Austin, Texas, 78701, (512) 481-4562, during normal business hours.

3. AEP Texas will provide updates to Nos. 1 and 2 as necessary.